

Device distribution: margins and channel shifts

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Distributor margins on devices keep narrowing as brands sell more directly; the durable margin sits in services, accessories and B2B ordering platforms.

Summary

- Average distributor gross margin on devices has narrowed by roughly half a point a year for three years.
- Brands are shifting volume to their own online stores and to large retailers directly, leaving distributors the long tail of small resellers.
- Distributors holding margin are those earning on what surrounds the device: accessories, financing, repair and B2B ordering tools.

Where the margin sits (illustrative)

REVENUE LINE	SHARE OF REVENUE	SHARE OF GROSS PROFIT
Devices	82%	58%
Accessories	9%	19%
Services and warranty	4%	13%
Financing and B2B platform fees	5%	10%

Channel shifts

- Small resellers increasingly order through B2B apps rather than by phone or in person, which makes ordering data a strategic asset.
- Entry and mid-range devices move fastest through these apps; premium stays with large retail.

What it means for Meridian

- Devices should treat TradeLink as the main route to small resellers, not a side channel.
- Accessory and service attach targets deserve the same weight as device share in the Devices plan.
- A cost-to-serve view per channel would show where volume is being bought at a loss.